

**TOWN OF TELLURIDE
TOWN COUNCIL
&
TELLURIDE HOUSING
AUTHORITY
AGENDA MEMORANDUM**

Agenda Item:
Town Council – 8c; 12a
THA – III.C
Meeting Date: 11/19/24

TITLE:

TOWN COUNCIL PUBLIC HEARING

Second Reading and Approval Of An Ordinance Of The Town Council Of The Town Of Telluride Concerning The Execution And Delivery By The Town Of A Ground Lease For The Canyonlands and Tower House Affordable Housing Project

TOWN COUNCIL ACTION ITEM

Consideration Of Approval Of A Resolution Of The Town Council Of The Town Of Telluride, Colorado, Concerning Servitas-Telluride Housing I, LLC And The Issuance By Public Finance Authority Of Its Taxable Multifamily Housing Revenue Bonds (Telluride Affordable Housing Project), Series 2024, And Declaring The Town Council's Non-Binding Intent To Appropriate Funds To Replenish The Series 2024 Bonds Reserve Account Securing Such Bonds, If Necessary, And Authorizing The Provision Of Certain Financial Information About The Town On An Ongoing Basis And The Execution Of Related Documents

TELLURIDE HOUSING AUTHORITY ACTION ITEM

Consideration Of Approval Of A Resolution Of The Board Of Commissioners Of The Telluride Housing Authority Concerning Becoming A Member In The Owner Of The Canyonlands And Tower House Project, And In Connection Therewith, Authorizing The Execution Of An Operating Agreement Among The Members Of The Servitas-Telluride Housing I, LLC And An Asset Management Agreement By And Between Servitas-Telluride Housing I, LLC And Servitas Management Group, LLC.

SUBMITTING DEPARTMENTS: Town Manager, Legal & Finance

EXHIBITS:

1. Draft Ordinance
 2. Draft Ground Lease
 3. Canyonlands and Tower House Elevations & Floor Plans
 4. Draft Replenishment Resolution
 5. Draft THA Resolution
 6. Draft PFA Support Letter
-

INTRODUCTION

Consistent with 2024 Town Council Goal and Objective *I. Address Critical Infrastructure Needs; A. Efficiently Pursue Quality Affordable Housing Opportunities to Meet Varying Income Levels; 7. Commence construction on the Canyonlands and Tower House Projects*, staff has prepared for Council's consideration, recommendations to proceed with the Canyonlands and Tower House Project as set forth herein, including authorizing the execution of certain documents requiring Town approval. In support of these recommendations, staff, and the Town's counsel (Butler/Snow),

financial advisor (Hilltop Securities), and Developer (Servitas) and their consultants have prepared a Replenishment Resolution, Ground Lease, Ordinance, Public Finance Support Letter, and Effectiveness Opinion for Council consideration and Resolution for THA consideration, which, if approved, would enable the Project to proceed to financing, construction, implementation, and ongoing operations and management. At the November 5, 2024 Town Council Meeting, First Reading of the Ordinance approving the Ground Lease was considered and approved. Approval of all other documents by Town Council and the Telluride Housing Authority are being considered at the November 19, 2024 meetings.

These agenda items are more specifically described and discussed below in this memorandum.

BACKGROUND/DISCUSSION

Town Council directed the Telluride Housing Authority Subcommittee and staff to develop and release an RFP for a potential Public Private Partnership ("P3") affordable housing project to occur on the Canyonlands and Tower House sites. Accordingly, the RFP for the Project was issued on February 22, 2023, and after reviewing responses and interviewing responding teams, the Interview Committee recommended Servitas, LLC (Developer) be retained for predevelopment services for the Project.

The Predevelopment Agreement ("PDA"), proposed by Servitas with Town-directed amendments, was authorized by Town Council at the June 13, 2023 meeting. The PDA was a broad and flexible agreement that engaged the Developer to collaborate with the Town for the planning, programming, design, permitting, financing, construction, sale/lease structure, maintenance, management, operation, and overall development of the Project.

Since June 2023, the Developer, in close cooperation with staff, has achieved land use approvals through the HARC and Planning & Zoning processes, among others, as was contemplated in the Agreement. These approvals include:

- Preliminary PUD approval achieved in January 2024 and Final PUD submitted for review in October 2024 and to be recorded pending Town Council approval of the Project.
- Preliminary Subdivision approval achieved in February 2024 and Final Subdivision submitted for review in October 2024 and to be recorded pending Town Council approval of the Project and conditioned upon the demolition of the current Tower House structure.
- Right of Way vacation approved in September 2024.
- Land transfer from Block 23 corporation to Town in October 2024.
- Various HARC approvals achieved throughout 2024, culminating in all final approvals achieved by November 2024.
- First reading of the Ground Lease ordinance was approved at the November 5, 2024 Town Council meeting.
- Pending Town Council approval of the Project, the Developer anticipates the issuance of phased Building Permits beginning in November 2024.

As required under the PDA, Town staff and Developer have come to agreement, subject to Council approval, on major terms, conditions, and other aspects of the Project's structure, ownership, development, construction, financing, operation, maintenance, and management and the Developer compensation for the same.

PROJECT SUMMARY

As noted above, the design and entitlement processes for the Project have been completed, specifically encompassing HARC approvals for demolition of the existing Tower House building, new construction of 2 apartment buildings on the Canyonlands site, 2 affordable for-sale multi-family buildings on the front of the Tower House site, and 3 Town Homes on the back of the Tower House site; and Planning and Zoning Commission approval for a Large Scale Subdivision, including Right-of-Way Vacation, and a Planned Unit Development for increased site coverage, height, and smaller lots.

As designed and approved, the Project is comprised of six different buildings and contains approximately 28,261 net residential square feet:

The housing unit mix and approximate unit sizes are summarized in the table below:

For Rent Units

Unit Type	Count	% of Total	NRSF Ranges
Studio	14	50%	390sf – 461sf
1 Bedroom	3	11%	417sf - 543sf
2 Bedroom	10	36%	680sf – 843sf
3 Bedroom	1	4%	1080 sf
Total	28	100%	

For Sale Units

Unit Type	Count	% of Total	NRSF Ranges
Studio	-	0%	
1 Bedroom	4	36%	494sf – 544sf
2 Bedroom	2	18%	740sf – 760sf
3 Bedroom	2	18%	1047sf – 1520sf
Townhome	3	27%	2182sf – 2259sf
Total	11	100%	

Key Deal Points

The following is a condensed summary of the most salient deal points for the proposed Project:

- Town provides the land for the Project under the terms of a 30-year Ground Lease and provides project support in the form of a Replenishment Resolution (Moral Obligation)
- Developer takes out the debt to fund the Project and will construct, finance, manage, operate, and maintain the Project under the terms of the Ground Lease, Development Agreement and Asset Management Agreement
- The Town shall be reimbursed the \$1.5 million it has spent to date on predevelopment services
- Sales proceeds of the for-sale portions of the Project will be used to buy down the debt of the rental portion of the Project, to maintain affordability in perpetuity
- The Town will annually approve the Operating Budget of the asset and will be provided with reports from the Developer, confirming compliance with required AMI targets and other occupancy requirements and qualification standards
- The Project is targeted at an average affordability of 120% AMI, as codified in the Ground Lease and consistent with the provisions of the RFP and the PDA

AMI Targeting, Occupancy Requirements, and Qualification Standards

Consistent with the RFP and PDA, both the rental portions and affordable for sale portions of the Project are required to be targeted at an average affordability of 120% AMI, within a range of 80% AMI to 150% AMI, and in no case can any units be priced at affordability exceeding 150% AMI. It is the Developer's responsibility to qualify renters and maintain ongoing compliance, after the initial lotteries have been conducted in conjunction with Town staff and SMRHA. Additional occupancy requirements and qualification standards for rental units include:

- Employment Standard: 1,400 hours per year (Intent to Work accepted); Qualified Retired and Qualified Disabled also accepted
- Initial Income Qualification: No more than 20% higher than the unit's target

		○ environmental issues, including landscaping equipment prohibition ○ legislation ○ example programs/ incentives ○ grants/funding		
	Transportation & Land Use	● Stay informed concerning Transportation & Land Use at the regional, state, and federal levels about: ○ environmental issues, including air quality ○ legislation ○ example programs/ incentives ○ grants/funding	Ruthie Hope	
2	Materials & Consumption	● Stay informed concerning Materials & Consumption at the regional, state, and federal levels about: ○ environmental issues, including composting ○ legislation ○ example programs/ incentives ○ grants/funding	Jonathan	
3	Natural Systems & Water	● Stay informed concerning Natural Systems & Water at the regional, state, and federal levels about: ○ environmental issues ○ legislation ○ example programs/ incentives ○ grants/funding ● Review the Annual San Miguel River Water Quality Report. ● Stay educated on the town's water needs assessments	Ruthie	
4	Community Resilience	● Stay informed concerning Community Resilience at the regional, state, and federal levels about: ○ environmental issues ○ legislation ○ example programs/ incentives ○ grants/funding, including a carbon fee	Jonathan	
5	Wildlife Human Internecon	● Stay informed concerning wildfire resilience at the regional, state, and federal levels about: ○ environmental issues ○ legislation ○ example programs/ incentives	Kathy Hope	



Town of Telluride
Town Council
MEMORANDUM

Title:	Introduction and First Reading Of An Ordinance Of The Town Council Of The Town Of Telluride Concerning The Financing Of Improvements To The Virginia Placer Phase 2A and Phase 2B Housing Project
To:	Mayor and Town Council
Meeting Date:	November 19, 2024
Submitted By:	Lance McDonald, Manager's James VanHooser, Manager's
Attachments:	Exhibit A - Virginia Placer Vicinity Map & Plans Exhibit B - Virginia Placer Authorizing Ordinance

Introduction:

Consistent with the 2024 Town Council Goals and Objectives for I. Address Critical Infrastructure Needs, A. Efficiently Pursue Quality Affordable Housing Opportunities to Meet Varying Income Levels; 2. Begin Construction of VP Phase 2A, and 3. Complete the Entitlement Process and Begin Construction on VP 2B, staff has prepared for Council's consideration recommendations to proceed with the initial approval step for the Virginia Placer Phase 2A and Phase 2B Affordable Housing Project ("Project") as set forth herein. Developing the Project would also be consistent with implementing the Southwest Area Conceptual Plan, which envisions additional development in the Virginia Placer area comprised of:

1. *Approximately 8-12 multi-family units serving short term municipal housing needs*
2. *Approximately 22-38 apartments or townhomes located west of the current apartment building*
3. *An approximate 20 room boarding house, or additional apartments located between the current boarding house and apartments*
4. *Approximately 10-20 single-family, duplex or triplex units located on the hillside south of and east of the current development, which would access a new road to be constructed*

In support of the Project, staff, and the Town's bond counsel (Butler/Snow) and financial underwriter (Stifel), have prepared an ordinance for Council's consideration (Exhibit B), which, if approved, would authorize Certificate of Participation financing for the Project's development and construction. The proposed COP financing mechanism for the Project is described in more detail below. Provided the ordinance passes on first reading, a second reading would occur at the December 10th, 2024 Town Council meeting,

concurrent with Council's review and consideration of the Project's Budget, Schedule, and Construction Contract (including Guaranteed Maximum Price).

Project Summary

The Project consists of two buildings, identified as Phase 2A and Phase 2B, located on the Town-owned Lots B-1.2R and B-2R, respectively, of the Virginia Placer Subdivision (please see Exhibit A for the Vicinity Map.). The **Phase 2A** building is to be located adjacent to Black Bear Road, south and east of the Public Works Facility, and received HARC approval in February of 2022; however further action was put on hold awaiting identification of development funding sources. As currently designed, the Phase 2A building is comprised of nine units (3 two-bedroom, 4 studio/one-bedroom, 2 "micro" four-bedroom dorm) intended to address short-term and long-term housing needs associated with Town operations.

Based on discussions with Town departments, four of the nine units would be set aside for short-term uses such as on-call, recruitment, seasonal staff, and special circumstances (e.g. visiting consultants, referees). These units would replace the three current on-call units for Town employees in the Shandoka and Virginia Placer apartments, enabling these units to be available to the general public for long-term rental use. The remaining five units in Phase 2A would be available for long-term rental to Town employees, advancing the Town's goal of housing 30% of its employees in dedicated units within the Town. Units not filled by Town employees could be rented to the general public through the Town or the Telluride Housing Authority (THA).

The plans for Phase 2A are depicted in Exhibit A and housing unit mix and approximate unit sizes are summarized in the table below:

Unit Type	Number of Units	Unit Sizes (approximate sf)
Studio	2	339
One Bedroom	2	460
Two Bedroom	3	963-1008
Four Bedroom ("mini-dorm")	2	890

Phase 2B is an 11-unit building located south of Phase 2A and southwest of the existing Virginia Placer Apartment Building. This portion of the Project is modeled on the architectural design of the neighboring THA-owned Virginia Placer Apartments and is comprised of 2 studio and 9 two-bedroom units.

As you may recall, in 2023 the Telluride Medical Center Foundation (on behalf of Telluride Hospital District) and Telluride Fire Dept. approached the Town about a potential partnership/joint development on the Town-owned Virginia Placer "Phase 2B" site. In response, Council directed a Request for Proposals (RFP) be issued to local governmental entities/special districts with taxing authority within the Town to determine interest in participating/partnering with the Town to develop the Phase 2B site concurrent with a Phase 2A development so as to provide efficiency in construction and